

Consider This: Weaponising industrial supply chains

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Preview

This is one of five papers from the full report?Consider This: The weaponisation of supply chains?exploring how key supply chains are evolving ? and what it means for long-term investment strategy.

Industrial supply chains are being re-engineered?not just for efficiency, but for resilience, security, and strategic control. In this paper, we explore how geoeconomic pressures are accelerating the shift from globalisation to regionalisation ? and what that means for sectors like automotive and defence.

From rising costs to inventory pressures to the growing role of digital logistics and circularity, companies are rethinking how and where they operate. In defence, the stakes are even higher: national security, demand certainty, and critical mineral access are reshaping industrial capacity.

Investment takeaway

The main developments for this supply chain are increased digitisation and deployment of logistics software to gather and parse real time data to better model potential risks and their possible solutions. This gathering of huge quantities of data across multiple domains, and the need to process all of it in ?real time? to quickly interpret risks and potential solutions, is exactly what the next industry is fast approaching: defence.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securitiesare subject to price fluctuation and possible loss of principal.

International investmentsare subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified inemerging markets.

The government?s participation in the economy is still high and, therefore, investments inChinawill be subject to larger regulatory risk levels compared to many other countries. There are special risks associated with investments inChina, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Hong Kong and Taiwan could be adversely affected by its political and economic relationship with China.

Aninvestment in private securities(such as private equity or private credit) or vehicles which invest in them, should be viewed as illiquid and may require a long-term commitment with no certainty of return. The value of and return on such investments will vary due to, among other things, changes in market rates of interest, general economic conditions, economic conditions in particular industries, the condition of financial markets and the financial condition of the issuers of the investments. There also can be no assurance that companies will list their securities on a securities exchange, as such, the lack of an established, liquid secondary market for some investments may have an adverse effect on the market value of those investments and on an investor?s ability to dispose of them at a favorable time or price.

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WF: 5594381

CONTRIBUTORS

Kim Catechis

Investment Strategist, Franklin Templeton Institute

Karolina Kosinska, CIPM

Analyst Franklin Templeton Institute

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